

South Asia's Manufacturing Race

India vs Bangladesh and the Next Factory of the World

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Executive Summary

South Asia is the most consequential emerging manufacturing battleground of the 2020s. The convergence of three global forces — the US-China decoupling driving brand-owners to diversify supply chains away from China; the demographic dividend providing South Asia with the world's largest and youngest workforce; and the post-COVID recognition that geographic concentration of manufacturing creates systemic supply chain risk — has made South Asian manufacturing competitiveness the defining economic strategy question for India, Bangladesh, Pakistan, Sri Lanka, and Vietnam's regional competitors simultaneously. The contest within South Asia is primarily between India (scale, technology ambition, PLI incentives, but higher wages and infrastructure gaps) and Bangladesh (established garment competitiveness, cheaper labour, but single-sector concentration and political transition), with Pakistan (distracted by economic crisis) and Sri Lanka (recovering from default) as secondary actors with specific sectoral strengths.

The fundamental question: South Asia collectively has the demographic endowment and cost structure to be the next China — but can its governance institutions, logistics infrastructure, and policy frameworks create the conditions for manufacturing capital to flow at the scale required? Vietnam, Indonesia, Mexico, and ASEAN collectively are South Asia's competition for this capital. Vietnam — with 100 million people, a functioning logistics infrastructure, and a track record of reliable supply chain integration — has been the primary beneficiary of China Plus One diversification to date. India's PLI programme and Bangladesh's RMG dominance position South Asia as the region most likely to capture the next wave — if the governance preconditions can be met.

Part I — India's Manufacturing Bet: Scale, PLI, and the Logistics Revolution

The Apple Effect as Proof of Concept

India's emergence as a manufacturing destination for premium electronics — anchored by Apple's \$14 billion iPhone production in India in FY2024 — is the most visible evidence that South Asia's largest economy can attract and sustain global supply chain investment. Apple's India manufacturing journey (Foxconn Sriperumbudur, Tata Electronics Hosur and Narasapura) has not been without friction: Foxconn's initial Wistron acquisition of facilities was disrupted by worker unrest in 2020; production quality took 18 months to reach TSMC/Foxconn China standards; and the India supply chain ecosystem (local component manufacturers, testing labs, precision tooling shops) remains shallower than China's after 20 years of smartphone manufacturing integration.

But the proof of concept is established: Apple's India production, combined with Google's announcement of a Pixel manufacturing partner in India, Samsung's India manufacturing expansion, and Dixon Technologies' growing portfolio of licensed electronics manufacturing, demonstrates that India can handle high-value electronics manufacturing — not just low-complexity assembly. The next chapter: moving from contract assembly to component manufacturing (glass, precision metal castings, semiconductors packaging) that creates deeper local content and higher value-added per unit.

India's Wage Competitiveness Window

India's manufacturing wage advantage over China is real but narrowing. A skilled assembly worker at a Tamil Nadu electronics factory earns approximately ₹15,000-20,000/month (\$180-240 USD) — compared to approximately \$350-500/month in China's coastal manufacturing regions and \$200-280/month in Vietnam. India's cost advantage over Vietnam is modest; over China it is more significant. But India's PLI subsidies (effectively 4-6% of incremental revenue) compensate for higher-than-Vietnam logistics costs and bring the effective economic cost of India manufacturing into competitive range with Vietnam for high-value products where supply chain risk diversification value justifies a cost premium.

The wage competitiveness window: India's manufacturing wages will rise as the economy grows (3-5% real wage growth annually), gradually eroding the labour cost advantage over the next 10-15 years. The strategy must therefore not be to compete on labour cost alone (Bangladesh and Vietnam win this race) but on the combination of scale + technology + domestic market access + PLI incentives. Products where domestic market consumption is large (automobiles, smartphones, appliances) and where PLI incentives bridge the last cost gap represent India's sweetspot.

Part II — Bangladesh's Garment Empire: Moat and Margin

The Depth of the RMG Moat

Bangladesh's comparative advantage in ready-made garments is not primarily about low wages — though its wages remain South Asia's lowest for garment workers. Bangladesh's advantage is the accumulated ecosystem: 4,500+ garment factories (over 1,000 LEED-certified — the highest concentration of green garment factories globally), an experienced 4.2 million-person workforce with decades of garment-specific skills, a logistics corridor optimised for textile exports (Chittagong Port's RMG handling volume, freight forwarding specialisation, LCA — local consolidation agency — network), and a supplier ecosystem (yarn, fabric, buttons, trims, labels) that has grown up around the garment industry to provide local content above 25% (qualification for EBA trade preferences).

The moat is deep: Vietnam has been competing in garments for 20+ years without fully dislodging Bangladesh from its position as the world's #2 garment exporter (China remains #1 at approximately 33% global share; Bangladesh #2 at approximately 7%; Vietnam #3 at approximately 6%). The reason the moat holds: Bangladesh's buyer-established compliance systems, ACCORD factory safety architecture, and buyer-supplier relationships built over 30 years are expensive to replicate elsewhere. "Switching costs" for brands moving out of Bangladesh are high in time, compliance investment, and supply chain disruption.

The Diversification Imperative

Bangladesh's challenge is precisely the strength of the garment moat: economic concentration in a single sector (RMG = 84% of exports) creates extreme vulnerability to sector-specific shocks. A major buyer boycott of Bangladesh garments (as happened post-Rana Plaza, though recovered), an automation wave replacing sewing workers, or a major trade preference loss (LDC graduation) could devastate an economy with no diversification buffer. Bangladesh's government has articulated ambitions for electronics

manufacturing (Samsung phones are assembled in Bangladesh), pharmaceuticals (strong domestic market, growing export), and IT/ITES — but execution has been limited.

The IT/ITES opportunity is genuine: Bangladesh has 800,000+ IT graduates, English-language proficiency, and a relatively low cost base for digital services. The constraining factor: consistent electricity supply (Dhaka experiences 4-8 hours of load shedding daily) and internet reliability have limited Bangladesh's ability to compete with India's well-established IT services industry. The political transition under Yunus creates an opportunity to prioritise infrastructure investment that would unlock the IT sector's potential.

Part III — Pakistan, Sri Lanka, and the Smaller Actors

Pakistan's Manufacturing Potential, Unrealised

Pakistan's manufacturing sector — contributing approximately 13% of GDP — represents a significant underperformance for a country of 240 million people. Pakistan has the demographic endowment (young, large workforce), natural resources (cotton for textiles, mineral resources), and strategic location (CPEC access to Chinese supply chains, Arabian Sea access) to be a manufacturing hub. Its textile sector — Pakistan is the world's fourth-largest cotton producer and a significant yarn, fabric, and garment exporter (\$19 billion in FY2024) — demonstrates that manufacturing competitiveness exists. But chronic power shortages (circular debt limits generation investment), political instability (discourages multi-year capital commitments), security concerns (particularly in Balochistan and KPK), and regulatory complexity have prevented manufacturing FDI from flowing at scale. Pakistan's manufacturing capability is an asset that its governance framework is preventing it from monetising.

Sri Lanka's Repositioning

Sri Lanka's manufacturing sector — approximately 25% of GDP — is recovering from the 2022 economic crisis. Sri Lanka's strategic assets: educated workforce (96% literacy), English proficiency, port position (Colombo Port is the regional transshipment hub, handling approximately 7 million TEUs annually), and a regulatory environment that was, pre-crisis, significantly more business-friendly than India, Pakistan, or Bangladesh. Specific manufacturing strengths: apparel (approximately \$5 billion in exports, primarily value-added garments for premium brands at higher price points than Bangladesh), rubber products, and tea-linked agro-processing. Sri Lanka's manufacturing recovery is tied to macroeconomic stabilisation — as foreign exchange returns, input material imports become available; as power reliability returns (hydropower recovery from 2022 reservoir depletion), production normalises.

Part IV — The Supply Chain Ecosystem Race

Why Vietnam Leads and What South Asia Can Learn

Vietnam's manufacturing success — capturing Apple Watch, AirPods, and Intel chip assembly; becoming the second-largest US electronics import source after China — provides the template for South Asian manufacturing aspiration. Vietnam's advantages: political stability (single-party system provides policy continuity), logistics infrastructure (Da Nang and Ho Chi Minh City deep-water ports with direct connections to Chinese supply chains), and a manufacturing culture built on 20+ years of continuous investment. The lesson for South Asia: manufacturing competitiveness is built over decades, not policy cycles. The PLI scheme is India's attempt to compress this timeline through financial incentives — but supply chain depth (the ecosystem of component manufacturers, tooling shops, logistics providers, quality testing labs) cannot be incentivised into existence overnight.

The opportunity: Vietnam's success in electronics manufacturing has exposed its capacity constraints — land costs in industrial zones have risen 15-20% annually, labour is tightening as the workforce urbanises, and brands that need volumes beyond Vietnam's capacity constraints are actively seeking supplementary manufacturing bases. India — with its vastly larger workforce and land availability — is the natural overflow destination for brands that have established Vietnam operations and need to add capacity.

Conclusion: South Asia's Manufacturing Decade

South Asia's manufacturing decade — 2024-2034 — has begun. India has established the iPhone supply chain; Bangladesh has the garment empire; Pakistan has textiles and the demographic potential; Sri Lanka has premium garments and the port hub. The collective endowment is formidable. The collective challenge — logistics infrastructure, power reliability, political stability, and regulatory quality — is equally significant.

The countries that succeed in manufacturing will be those that can offer brands not just cheap labour but reliable production: consistent quality, on-time delivery, responsive supply chains, and predictable regulatory environments. India's scale gives it a structural advantage for the largest investment mandates; Bangladesh's ecosystem gives it resilience for established garment supply chains; Pakistan and Sri Lanka have specific niches. South Asia's manufacturing future will not be a single winner — it will be a multi-actor ecosystem where each country captures the manufacturing segment that matches its specific capabilities.

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All data from World Bank, DPIIT, BGMEA, ADB, McKinsey Global Institute, and cited sources.